Company No: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2016

A215116/nabihah/fadhilah

Company No.: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

CONTENTS

Company No.: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the financial year ended 31 March 2016.

PRINCIPAL ACTIVITIES

The Company is principally engaged in software development and information technology outsourcing.

There have been no significant changes in the nature of these activities during the financial year.

RESULTS

	RM
Comprehensive income for the year	1,576,780
Retained profit brought forward	1,416,800
Retained profit carried forward	2,993,580

DIVIDENDS

No dividends have been paid since the end of the previous financial year and the directors do not recommend the payment of any final dividend for the current financial year.

RESERVES AND PROVISIONS

There were no material transfers to or from reserves or provisions during the current financial year.

BAD AND DOUBTFUL DEBTS

Before the financial statements of the Company were made out, the directors took reasonable steps to ascertain that action had been taken in relation to the writing off of bad debts and the making of allowance for doubtful debts, and are satisfied that adequate allowance had been made for doubtful debts and no bad debts had been written off.

At the date of this report, the directors of the Company are not aware of any circumstances that would render it necessary to write off bad debts or the amount of the allowance for doubtful debts in the Company, inadequate to any substantial extent.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

DIRECTORS' REPORT

CURRENT ASSETS

Before the financial statements of the Company were made out, the directors took reasonable steps to ensure that any current assets, other than debts which were unlikely to be realised in the ordinary course of business their values as shown in the accounting records of the Company, were written down to an amount that they might be expected to realise.

At the date of this report, the directors are not aware of any circumstances that would render the values attributed to the current assets in the financial statements of the Company misleading.

VALUATION METHODS

At the date of this report, the directors are not aware of any circumstances which have arisen which render adherence to the existing methods of valuation of assets or liabilities of the Company misleading or inappropriate.

CONTINGENT AND OTHER LIABILITIES

At the date of this report, there does not exist:-

(i) any charge on the assets of the Company that has arisen since the end of the financial year which secures the liabilities of any other person; or

(ii) any contingent liability in respect of the Company that has arisen since the end of the financial year.

No contingent or other liability of the Company has become enforceable, or is likely to become enforceable within the period of twelve months after the end of the financial year which, in the opinion of the directors, will or may substantially affect the ability of the Company to meet its obligations as and when they fall due.

CHANGE OF CIRCUMSTANCES

At the date of this report, the directors are not aware of any circumstances not otherwise dealt with in this report or the financial statements of the Company which would render any amount stated in the financial statements of the Company misleading.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

DIRECTORS' REPORT

ITEMS OF AN UNUSUAL NATURE

In the opinion of the directors:-

(i) the results of the operations of the Company for the financial year have not been substantially affected by any item, transaction or event of a material and unusual nature.

(ii) there has not arisen in the interval between the end of the financial year and the date of this report any item, transaction or event of a material and unusual nature which is likely to affect substantially the results of the operations of the Company for the financial year in which this report is made.

ISSUE OF SHARES

The Company did not issue any new shares during the financial year.

DIRECTORS

The directors who served since the date of the last report and at the date of this report are:-

Jacob Pillay
Huang Miew Woon
Taibah Binti Abdul Rahman @ Ling Kiong

In accordance with Regulation 63 of Table A in the Fourth Schedule of the Companies Act 1965, Huang Miew Woon retires and being eligible, offers herself for re-election at the forthcoming Annual General Meeting.

None of the directors holding office at the end of the financial year had any direct interest in the ordinary shares of the Company and its related corporations.

DIRECTORS' BENEFITS

Since the end of the previous financial year, no director of the Company has received nor become entitled to receive any benefit by reason of a contract made by the Company or a related corporation with the director, or with a firm of which the director is a member, or with a company in which the director has a substantial financial interest.

DIRECTORS' BENEFITS – CONT'D

Neither during nor at the end of the financial year, was the Company a party to any arrangement whose object is to enable the directors to acquire benefits by means of the acquisition of shares in or debentures of the Company or any other body corporate.

HOLDING COMPANY

The directors regard Mindteck (India) Limited, a company incorporated in India, as its holding company.

AUDITORS

The auditors, Mustapha, Khoo & Co., have indicated their willingness to continue in office.

Signed in accordance with a resolution of the directors,

Huang Miew Woon
Director

Jacob Pillay
Director

Dated: 17 JUN 2016

Company No.: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT BY DIRECTORS

We, Huang Miew Woon and Jacob Pillay, being two of the directors of MINDTECK SOFTWARE MALAYSIA SDN. BHD., do hereby state that, in the opinion of the directors, the financial statements set out on pages 8 to 32 are drawn up so as to give a true and fair view of the state of affairs of the Company as at 31 March 2016 and of the results of its operations, its cash flow and changes in equity of the Company for the financial year ended on that date and have been properly drawn up in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the provisions of the Companies Act, 1965.

On behalf of the Board,

Huang Miew Woon
Director

Jacob Pillay
Director

Dated: 17 JUN 2016

STATUTORY DECLARATION

I, Jacob Pillay, being the director primarily responsible for the financial management of MINDTECK SOFTWARE MALAYSIA SDN. BHD., do solemnly and sincerely declare that the financial statements set out on pages 8 to 32 are, to the best of my knowledge and belief, correct, and I make this solemn declaration conscientiously believing the same to be true and by virtue of the provisions of the Notaries Act 1952.

Subscribed and solemnly)
declared by the abovenamed)
at Bangalore in India)
17 JUN 2016)

Jacob Pillay
Director

NOTARY
S.I.BALAGURU
BANGALORE
Reg No. 10191
GOVT. OF INDIA

Before me,

SWORN TO BEFORE ME

Commisioner for Oaths

S. I. BALAGURU, B.SC, LL.B, (M.L)
NOTARY
GOVT. OF INDIA, Regn. No. 10191
'SHARON MIZPEH" No. 35, Hutchins Road'
Etxn., 6th Cross. St. Thomas Town Post,
BANGALORE - 560 084

17 JUN 2016

MUSTAPHA, KHOO & CO (AF: 0599)
Chartered Accountants
30-4 & 32-4, Jalan Kuchai Maju 10, Kuchai Entrepreneurs Park,
Off Jalan Kuchai Lama, 58200 Kuala Lumpur, Malaysia.
Tel : 603-7981 3337 (4 lines) Fax : 603-7982 5708
E-mail : info@mustaphakhoo.com / mksk_kl@yahoo.com Website : www.mustaphakhoo.com

PrimeGlobal
An Association of Independent Accounting Firms

Company No.: 718964-U

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

Report on the Financial Statements

We have audited the financial statements of MINDTECK SOFTWARE MALAYSIA SDN. BHD., which comprise the statement of financial position as at 31 March 2016, and the statement of comprehensive income, statement of changes in equity and statement of cash flow for the year then ended, and a summary of significant accounting policies and other explanatory information, as set out on pages 8 to 32.

Directors' Responsibility for the Financial Statements

The directors of the Company are responsible for the preparation of financial statements so as to give a true and fair view in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 1965 in Malaysia. The directors are also responsible for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with approved standards on auditing in Malaysia. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment, including the assessment of risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation of financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

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Malaysian Institute of Accountants
(Established under the Accountants Act 1967)
A Member Firm of MIA

MUSTAPHA, KHOO & CO (AF: 0599)
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INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Company as of 31 March 2016 and of its financial performance and cash flows for the year then ended in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 1965 in Malaysia.

Report on Other Legal and Regulatory Requirements

In accordance with the requirements of the Companies Act 1965 in Malaysia, we also report that in our opinion the accounting and other records and the registers required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.

Other Matters

This report is made solely to the members of the Company, as a body, in accordance with Section 174 of the Companies Act 1965 in Malaysia and for no other purpose. We do not assume responsibility to any other person for the content of this report.

Mustapha, Khoo & Co	Khoo Siong Kee
No: AF 0599	No.791/04/18 (J/PH)
Chartered Accountants	Partner of the Firm

Kuala Lumpur
Dated: 17 JUN 2016

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Company No.: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF FINANCIAL POSITION
AS AT 31 MARCH 2016

	Note	2016 RM	2015 RM
NON-CURRENT ASSETS			
Plant and equipment	6	30,478	6,704
Intangible asset	7	1	1
		30,479	6,705
CURRENT ASSETS			
Trade and other receivables	8	3,753,691	3,434,646
Amount due from holding company	9	3,000	8,127
Cash in hand and at banks	10	1,397,982	863,607
		5,154,673	4,306,380
TOTAL ASSETS		5,185,152	4,313,085
EQUITY AND LIABILITIES			
EQUITY			
Share capital	11	250,000	250,000
Retained profit		2,993,580	1,416,800
TOTAL EQUITY		3,243,580	1,666,800
CURRENT LIABILITIES			
Other payables		1,328,857	1,509,260
Amount due to holding company	9	20,167	444,342
Amount due to a related company	12	592,548	692,683
		1,941,572	2,646,285
TOTAL EQUITY AND LIABILITIES		5,185,152	4,313,085

The notes on pages 12 to 32 form an integral part of these financial statements.
Auditors' report on pages 6 and 7.

Company No.: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF PROFIT OR LOSS AND COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 MARCH 2016

	Note	2016 RM	2015 RM
Revenue	13	15,571,612	8,812,243
Cost of sales		(12,257,278)	(6,990,701)
Gross profit		3,314,334	1,821,542
Other income:			
Gain on unrealised foreign exchange		37,869	-
Interest income		762	2,499
Miscellaneous income		-	727
Total income		3,352,965	1,824,768
Administrative and operating expenses	14	(1,744,293)	(1,109,304)
Profit before finance cost and taxation		1,608,672	715,464
Finance cost:			
Interest expenses		(31,392)	-
Profit before taxation		1,577,280	715,464
Taxation	15	(500)	-
Net profit for the year after taxation		1,576,780	715,464
Retained profit brought forward		1,416,800	701,336
Retained profit carried forward		2,993,580	1,416,800

The notes on pages 12 to 32 form an integral part of these financial statements.
Auditors' report on pages 6 and 7.

Company No.: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 MARCH 2016

	Share capital RM	Retained profit RM	Total RM
2016			
As at 1 April 2015	250,000	1,416,800	1,666,800
Comprehensive income for the year	-	1,576,780	1,576,780
As at 31 March 2016	250,000	2,993,580	3,243,580
2015			
As at 1 April 2014	250,000	701,336	951,336
Comprehensive income for the year	-	715,464	715,464
As at 31 March 2015	250,000	1,416,800	1,666,800

The notes on pages 12 to 32 form an integral part of these financial statements.
Auditors' report on pages 6 and 7.

Company No.: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CASH FLOW
FOR THE YEAR ENDED 31 MARCH 2016

	Note	2016 RM	2015 RM
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before taxation		1,577,280	715,464
Adjustments for:			
Depreciation of plant and equipment		10,702	10,592
Interest expense		31,392	-
Operating profit before changes in working capital		1,619,374	726,056
Changes in working capital:			
Increase in trade and other receivables		(319,045)	(1,494,070)
Decrease / (Increase) in amount due from holding company		5,127	(4,457)
Decrease in amount due from a related company		-	99,370
(Decrease) / Increase in other payables		(180,403)	822,183
(Decrease) / Increase in amount due to holding company		(424,175)	163,485
(Decrease) / Increase in amount due to a related company		(100,135)	399,281
Net cash generated from operating activities		600,743	711,848
Interest paid		(31,392)	-
Tax paid		(500)	-
Net cash from operating activities		568,851	711,848
CASH FLOW FROM INVESTING ACTIVITY			
Purchase of plant and equipment		(34,476)	-
Net cash used in investing activity		(34,476)	-
Net increase in cash and cash equivalents		534,375	711,848
Cash and cash equivalents at the beginning of the year		863,607	151,759
Cash and cash equivalents at the end of the year	16	1,397,982	863,607

The notes on pages 12 to 32 form an integral part of these financial statements.
Auditors' report on pages 6 and 7.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2016

1. PRINCIPAL ACTIVITIES AND GENERAL INFORMATION

The Company is principally engaged in software development and information technology outsourcing.

There have been no significant changes in the nature of these activities during the financial year.

The Company is a limited company, incorporated and domiciled in Malaysia. The registered office of the Company is situated at Unit 16-5 Level 5 Galleria @ Cyberjaya, Jalan Teknokrat 6, Cyber 5, 63000 Cyberjaya, Selangor Darul Ehsan.

The principal place of business of the Company is located at No. 10-1, Biz Avenue, Neo Cyber, Lingkaran Cyber Point Barat, 63000 Cyberjaya, Selangor Darul Ehsan.

All the amounts stated in the financial statements are in Ringgit Malaysia.

2. HOLDING COMPANY

The directors regard Mindteck (India) Limited, a company incorporated in India, as its holding company.

3. DATE OF AUTHORISATION OF ISSUE

The financial statements were authorised for issue by the Board of Directors in accordance with a resolution of the directors on 17 JUN 2016

4. SIGNIFICANT ACCOUNTING POLICIES

(a) Basis of preparation

The financial statements of the Company have been prepared in accordance with Malaysian Financial Reporting Standards ("MFRSs"), International Financial Reporting Standards and the requirements of the Companies Act, 1965 in Malaysia.

(i) Adoption of Amendments to MFRSs

The Company had adopted the following amendments to MFRSs that are mandatory for the current financial year:-

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(a) Basis of preparation – Cont'd

(i) Adoption of Amendments to MFRSs – Cont'd

Amendments to MFRSs
MFRS 119 Defined Benefit Plans: Employee Contributions
Annual Improvements to MFRSs 2010-2012 Cycle
Annual Improvements to MFRSs 2011-2013 Cycle

The adoption of the above amendments to MFRSs do not have any effect on the financial statements of the Company.

(ii) New MFRSs and Amendments to MFRSs that are issued, but not yet effective and have not been early adopted

The Company have not adopted the following new MFRSs and amendments to MFRSs that have been issued as at the date of authorisation of these financial statements but are not yet effective for the Company:-

		Effective for financial periods beginning on or after
New MFRSs		
MFRS 9	Financial Instruments (IFRS 9 issued by IASB in July 2014)	1 January 2018
MFRS 14	Regulatory Deferral Accounts	1 January 2016
MFRS 15	Revenue from Contracts with Customers	1 January 2018
MFRS 16	Leases	1 January 2019
Amendments to MFRSs		
MFRS 11	Accounting for Acquisitions of Interests in Joint Operations	1 January 2016
MFRS 127	Equity Method in Separate Financial Statements	1 January 2016
MFRS 10 and MFRS 128	Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	Deferred
MFRS 116 and MFRS 138	Clarification of Acceptable Methods of Depreciation and Amortisation	1 January 2016
MFRS 116 and MFRS 141	Agriculture: Bearer Plants	1 January 2016

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(a) Basis of preparation – Cont'd

(ii) New MFRSs and Amendments to MFRSs that are issued, but not yet effective and have not been early adopted – Cont'd

		Effective for financial periods beginning on or after
MFRS 101	Disclosure Initiatives	1 January 2016
MFRS 107	Disclosure Initiatives	1 January 2017
MFRS 112	Recognition of Deferred Tax Assets for Unrealised Losses	1 January 2017
MFRS 10, MFRS 12 and MFRS 128	Investment Entities: Applying the Consolidation Exception	1 January 2016
Annual Improvements to MFRSs 2012 - 2014 Cycle		1 January 2016

The Company will adopt the above pronouncements when they become effective in the respective financial periods. These pronouncements are not expected to have any effect to the financial statements of the Company upon their initial application. A brief discussion on the above significant new MFRSs and amendments to MFRSs are summarised below.

MFRS 9 Financial Instruments

In November 2014, MASB issued the final version of MFRS 9 Financial Instruments which reflects all phases of the financial instruments project and replaces MFRS 139 Financial Instruments: Recognition and Measurement and all previous versions of MFRS 9. The standard introduces new requirements for classification and measurement, impairment and hedge accounting. MFRS 9 is effective for annual periods beginning on or after 1 January 2018, with early application permitted. Retrospective application is required, but comparative information is not compulsory. The Company is currently examining the financial impact of adopting MFRS 9.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(b) Plant and equipment and depreciation

Plant and equipment are stated at cost less accumulated depreciation and impairment losses, if any.

Cost included expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of material, direct labour any other costs directly attributable to bringing the asset to working condition for its intended use and the cost of dismantling and removing the items and restoring the site on which they are located. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When parts of an item of plant and equipment have different useful lives, they are accounted for as separate items (major components) of plant and equipment.

Gains and losses on disposal of an item of plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of plant and equipment and are recognised net within "Other income" or "Other expenses" respectively in the profit and loss accounts (income statement).

Subsequent costs

The cost of replacing part of an item of plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The carrying amount of the replaced part is derecognised. The costs of the day-to-day servicing of plant and equipment are recognised in the profit and loss accounts (income statement) as incurred.

Depreciation

Depreciation is recognised in the profit and loss accounts (income statement) on a straight-line basis over the estimated useful lives of each part of an item of plant and equipment. Leasehold improvements are depreciated over the minimum period of lease or over the useful lives of assets, whichever is lower.

The estimated useful lives are as follows:

Office equipment	5 years
Furniture and fittings	5 years
Computers	2 years

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(b) Plant and equipment and depreciation – Cont'd

The depreciation method, useful life and residual value are reviewed at each reporting date.

Significant purchased application software that is an integral part of the Company's computer systems, expected to provide lasting benefits, is capitalised and amortised on the straight-line method over its estimated useful life or one year whichever is shorter.

Fully depreciated assets are retained in the financial statements until they are no longer in use.

(c) Impairment of assets

Assets that have an indefinite useful life are not subject to amortisation and are tested annually for impairment.

The carrying amounts of assets, other than inventories and deferred tax assets are reviewed at each balance sheet date for impairment when there is an indication that the carrying amount of the assets may not be recoverable. An impairment loss is recognised when the carrying amount of the asset exceeds its recoverable amount. The recoverable amount is the higher of an asset's net selling price and its value in use, which is measured by reference to discounted future cash flows. Recoverable amounts are estimated for individual asset, or if it is not possible, for the cash generating unit.

An impairment loss is recognised as an expense in the profit and loss accounts (income statement) immediately, unless the asset is carried at its revalued amount. Any impairment loss of a revalued asset is treated as a revaluation decrease to the extent of a previously recognised revaluation surplus for the same asset.

Impairment losses on goodwill are not reversed. In respect of other assets, any subsequent increase in the recoverable amount of an asset is treated as reversal of the previous impairment loss and is recognised to the extent of the carrying amount of the asset that would have been determined (net of amortisation or depreciation) had no impairment loss been recognised. The reversal is recognised in the profit and loss accounts (income statement) immediately, unless the asset is carried at revalued amount. A reversal of impairment loss on a revalued asset is credited directly to revaluation surplus. To the extent that impairment loss on the same revalued asset was previously recognised as an expense in the profit and loss accounts (income statement), a reversal of that impairment loss is recognised as an income in the profit and loss accounts (income statement).

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(d) Trade and other receivables

Trade and other receivables are carried at anticipated realisable values. Bad debts are written off when identified. An estimate is made for doubtful debts based on review of all outstanding amounts as at the balance sheet date.

(e) Cash and cash equivalents

Cash and cash equivalents consist of cash on hand, balances with banks and highly liquid investments which have insignificant risk of changes in value. For the purpose of the cash flow statement, cash and cash equivalents are presented net of bank overdrafts.

(f) Share capital

Ordinary shares

Ordinary shares are classified as equity. Incremental costs directly attributable to the issuance of new ordinary shares and share options are recognised as a deduction from equity, net of any tax effects.

(g) Trade and other payables

Trade and other payables are carried at cost which is the fair value of the consideration to be paid in the future for goods and services received, whether or not billed to the Company.

(h) Provisions

A provision is recognised if, as a result of a past event, the Company has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(h) Provisions – Cont'd

Onerous contracts

Provisions for onerous contracts are recognised when the expected benefits to be derived by the Company from a contract are lower than the unavoidable costs of meeting the obligations under the contract. The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established the Company recognises any impairment loss on the assets associated with that contract.

Contingent liabilities

Where it is not probable that an outflow of economic benefits will be required, or the amount cannot be estimated reliably, the obligation is disclosed as a contingent liability, unless the probability of outflow of economic benefits is remote. Possible obligations, whose existence will only be confirmed by the occurrence or non-occurrence of one or more future events are also disclosed as contingent liabilities unless the probability of outflow of economic benefits is remote.

(i) Income tax

Income tax for the financial year comprises current and deferred tax. Current tax is the expected amount of income taxes payable in respect of the taxable profit for the financial year and is measured using the tax rates that have been enacted at the balance sheet date.

Deferred taxation is provided for, using the balance sheet liability method, on temporary differences at the balance sheet date between the tax bases of assets and liabilities and their carrying amounts in the financial statements. In principle, deferred tax liabilities are recognised for all taxable temporary differences and deferred tax assets are recognised for all deductible temporary differences, unused tax losses and unused tax credits to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, unused tax losses and unused tax credits can be utilised.

Deferred tax is measured at the tax rates that are expected to apply in the period when the asset is realised or the liability is settled, based on the tax rates that have been enacted or substantively enacted at the balance sheet date. Deferred tax is recognised in the profit and loss accounts (income statement), except when it arises from a transaction which is recognised directly in equity, in which case the deferred tax is also recognised directly in equity.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(j) Foreign currencies

(i) Functional and presentation currencies

The individual financial statement of each entity in the Company is measured using the currency of the primary economic environment in which the entity operates ("the functional currency"). The financial statement is presented in Ringgit Malaysia (RM), which is also the Company's functional currency.

(ii) Foreign currency translations

In preparing the financial statements of the individual entities, transactions in currencies other than the entity's functional currency (foreign currencies) are recorded in the functional currencies using the exchange rates prevailing at the dates of the transactions. At each balance sheet date, monetary items denominated in foreign currencies are translated at the rates prevailing on the balance sheet date. Non-monetary items carried at fair value that are denominated in foreign currencies are translated at the rates prevailing on the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not translated.

Exchange differences arising on the settlement of monetary items, and on the translation of monetary items, are included in the profit and loss accounts (income statement) for the financial year.

Exchange differences arising on the translation of non-monetary items carried at fair value are included in the profit and loss accounts (income statement) for the financial year except for the differences arising on the translation of non-monetary items in respect of which gains and losses are recognised directly in equity. Exchange differences arising from such non-monetary items are also recognised directly in equity.

The principal closing rates used in the translation of foreign currency amounts and the financial statements of foreign entities are as follows:

	2016 RM	2015 RM
1 US dollar	3.922	3.495
1 Singapore dollar	2.902	2.645
1 EURO	4.438	4.251

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(k) Revenue recognition

(i) Services rendered

The Company derives its revenue primarily from software development and consultancy services. Arrangements with customers for software development and consultancy services are either on a fixed price, fixed timeframe or on a time and material basis.

Revenue on time-and-material contracts are recognised as the related services are performed and revenue from the end of the last billing to the balance sheet date is recognised as unbilled revenues. Revenue from fixed-price, fixed-timeframe contracts is recognised as per the percentage-of-completion method. Efforts expended have been used to measure progress towards completion as there is a direct relationship between input and productivity. Provisions for estimated losses, if any, on uncompleted contracts are recorded in the period in which such losses become probable based on the current contract estimates.

Costs and earnings in excess of billings are classified as unbilled revenue while billings in excess of costs and earnings are classified as unearned revenue.

Advances received for services are reported as client deposits until all conditions for revenue recognition are met.

The Company accounts for volume discounts and pricing incentives, if any, to customers by reducing the amount of discount from the amount of revenue recognised at the time of sale. The Company presents revenues net of sales and value-added taxes in its profit and loss accounts (income statement).

(ii) Interest income

Interest income is recognised on a time proportion basis that takes into account the effective yield on the assets.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(l) Employee benefits

(i) Short term employees benefits

Wages, salaries, bonuses and social security contributions are recognised as an expense in the financial year in which the associated services are rendered by employees of the Company. Short term accumulating compensated absences such as paid annual leave are recognised when services are rendered by employees that increase their entitlement to future compensated absences. Short term non-accumulating compensated absences such as sick leave are recognised when the absences occur.

(ii) Defined contribution plans

As required by law, companies in Malaysia make contributions to the Employees Provident Fund ("EPF"). Such contributions are recognised as an expense in the profit and loss accounts (income statement) as incurred.

(m) Cash flow statement

The Company adopts the indirect method in the preparation of cash flow statement.

(n) Financial instruments

Financial instruments are recognised in the balance sheet when the Company has become a party to the contractual provisions of the instrument.

Financial instruments are classified as liabilities or equity in accordance with the substance of the contractual arrangements. Interest, dividends, gains and losses relating to a financial instrument or a component that is a financial liability shall be recognised as income or expense in the profit and loss accounts (income statement). Distributions to holders of financial instruments classified as equity are debited directly to equity net of any related tax effect. Financial instruments are offset when the Company has a legally enforceable right to set off the recognised amounts and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(n) Financial instruments – Cont'd

Financial instruments carried on the balance sheet include cash and bank balances, receivables and payables. The recognition methods adopted are disclosed in the individual policy statement associated with each item.

5. CRITICAL ACCOUNTING ESTIMATES AND JUDGMENTS

Estimates and judgments are continually evaluated by the Directors and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

The estimates and assumptions that affect the application of the Company's accounting policies and have a significant risk of causing a material adjustment to the carrying amounts of assets, liabilities, income and expenses are outlined below:-

(i) Depreciation of plant and equipment

The cost of plant and equipment is depreciated on the straight-line basis over the assets' useful lives. The management estimates the range of useful lives of these plant and equipment to be 2 to 5 years. However, any changes in the expected level of usage and technological developments could impact the economic useful lives and the residual values of these assets. Therefore, future depreciation charges could be revised.

(ii) Impairment of assets other than goodwill

The Company assesses impairment of an asset whenever the events or changes in circumstances indicated that the carrying amount of the asset may not be recoverable. Recoverable amount is measured at the higher of the fair value less cost to sell for the asset and its value-in-use. The value-in-use is the net present value of the projected future cash flow derived from the asset discounted at an appropriate discount rate.

In determining the recoverable amount of an asset, the management is required to make an estimate of the expected future cash flows based on historical, sector and industry trends, general market and economic conditions, changes in technology and other available information and also to apply a suitable discount rate in order to determine the present value of those cash flows.

5. CRITICAL ACCOUNTING ESTIMATES AND JUDGMENTS – CONT'D

(iii) Allowance for doubtful debts

Allowance for doubtful debts is made based on the assessment of the recoverability of receivables. Allowances are made on receivables where events or changes in circumstances indicated that the carrying amounts may not be recoverable. The management has given due consideration to all pertinent information relating to the ability of the debtors to settle the debts which include historical bad debt, customer concentrations and creditworthiness, current economic trends and changes in customer payment terms when making a judgment to evaluate the adequacy of the allowance for doubtful debts. Where the expectation is different from the original estimate, such difference will impact the carrying value of receivables.

(iv) Income taxes

There are certain transactions and calculations for which the ultimate tax determination may be different from the initial estimate. Tax liabilities are recognised based on the Company's understanding of the prevailing tax laws and estimates of whether such taxes will be due in the ordinary course of business.

Where the final outcome is different from the amounts that were initially recognised, such difference will impact the income tax and deferred tax provisions in the period in which such determination may be different from the initial estimate.

(v) Revenue recognition

The Company uses the percentage-of-completion method in accounting for its fixed-price contracts. Use of the percentage-of-completion method requires the Company to estimate the efforts expended to date as a proportion of the total efforts to be expended. Efforts expended have been used to measure progress towards completion as there is a direct relationship between input and productivity. Provisions for estimated losses, if any, on uncompleted contracts are recorded in the period in which such losses become probable based on the current contract estimates.

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NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2016

6. PLANT AND EQUIPMENT

	Office equipment RM	Furniture and fittings RM	Computers RM	Total RM
Net carrying amount as at 1 April 2014	877	10,460	5,959	17,296
Depreciation charge	(301)	(4,332)	(5,959)	(10,592)
Net carrying amount as at 31 March 2015	576	6,128	-	6,704
Additions	-	24,640	9,836	34,476
Depreciation charge	(187)	(6,857)	(3,658)	(10,702)
Net carrying amount as at 31 March 2016	389	23,911	6,178	30,478
Net carrying amount as at 31 March 2015				
Cost	5,440	35,385	32,767	73,592
Accumulated depreciation	(4,864)	(29,257)	(32,767)	(66,888)
Net carrying amount	576	6,128	-	6,704
Net carrying amount as at 31 March 2016				
Cost	5,440	60,025	42,603	108,068
Accumulated depreciation	(5,051)	(36,114)	(36,425)	(77,590)
Net carrying amount	389	23,911	6,178	30,478

6. PLANT AND EQUIPMENT – CONT'D

Included in the Company's plant and equipment are the following fully depreciated assets which are still in use with cost value of:

	2016	2015
	RM	RM
Office equipment	4,600	4,600
Furniture and fittings	13,723	13,723
Computers	37,061	37,061
	55,384	55,384

7. INTANGIBLE ASSET

	Software
	RM
Net carrying amount as at 1 April 2014	1
Additions	-
Amortisation	-
Net carrying amount as at 31 March 2015	1
Additions	-
Amortisation	-
Net carrying amount as at 31 March 2016	1
Net carrying amount as at 31 March 2015	
Cost	4,294
Amortisation	(4,293)
Net carrying amount	1
Net carrying amount as at 31 March 2016	
Cost	4,294
Amortisation	(4,293)
Net carrying amount	1

8. TRADE AND OTHER RECEIVABLES

	2016	2015
	RM	RM
Trade receivables	3,450,193	3,251,646
Less: Allowance for doubtful debts	(23,919)	(23,919)
	3,426,274	3,227,727
Other receivables, deposits and prepayments	327,417	206,919
	3,753,691	3,434,646

9. AMOUNT DUE FROM / (TO) HOLDING COMPANY

Amount due from holding company is unsecured, interest free and repayable on demand in cash and consist of:

	2016	2015
	RM	RM
Trade	3,000	8,127

Amount due to holding a company is unsecured, interest free (except an amount of RMnil (2015: RM400,000) which bear interest rate at nil% (2015: 8.5%) per annum) and repayable on demand in cash and consist of:

	2016	2015
	RM	RM
Non-trade	20,167	444,342

10. CASH IN HAND AND AT BANKS

	2016	2015
	RM	RM
Cash in hand	625	1,504
Cash at banks	1,397,357	862,103
	1,397,982	863,607

11. SHARE CAPITAL

	2016	2015
	RM	RM
Authorised:		
500,000 ordinary shares of RM1 each	500,000	500,000
Issued and fully paid:		
250,000 ordinary shares of RM1 each	250,000	250,000

12. AMOUNT DUE TO A RELATED COMPANY

Amount due to a related company is unsecured, interest free and repayable on demand in cash and consist of:

	2016	2015
	RM	RM
Non-trade	592,548	692,683

13. REVENUE

Revenue represents invoiced value of service provided.

14. ADMINISTRATIVE AND OPERATING EXPENSES

	2016 RM	2015 RM
Included in the above are the following expenses:-		
Auditors' remuneration	8,070	6,000
Depreciation of plant and equipment	10,702	10,592
Realised foreign exchange losses	-	37,353
Rental of premise	39,936	30,000
Unrealised foreign exchange losses	119,458	56,860

15. TAXATION

	2016 RM	2015 RM
Under provision of tax in prior year	500	-

No provision for taxation is required as the Company is in a pioneer status.

A reconciliation of income tax expenses applicable to profit before taxation at the statutory income tax rate to the income tax expenses at the effective income tax rate of the Company is as follows:

	2016 RM	2015 RM
Profit before taxation	1,577,280	715,464
Income tax using Malaysia tax rate at 24% (2015: 25%)	378,547	178,866
Tax effects of non-deductible expenses	8,301	16,877
Chargeable income exempted from tax	(386,848)	(195,743)
Tax expense	-	-

On 6 July 2006, the Company was granted Multimedia Super Corridor-Status ("MSC-Status") by Multimedia Development Corporation Sdn. Bhd.. The financial incentive awarded to the Company is pioneer status under Section 4A of the Promotion of Investments Act, 1986 ("PAI"), with a ten years income tax exemption effective from Year of Assessment ("YA") 2007.

16. CASH AND CASH EQUIVALENTS

	2016 RM	2015 RM
Cash in hand	625	1,504
Cash at banks	1,397,357	862,103
	1,397,982	863,607

17. EMPLOYEE INFORMATION

	2016 RM	2015 RM
Staff costs - salaries and wages	11,769,312	6,759,915
Staff costs - staff welfare	105,349	43,677
Defined contribution plan	235,364	112,999
Leave pay	1,521	1,521
	12,111,546	6,918,112

18. RELATED PARTY TRANSACTION

The Company has related party relationships with the following parties:

Name of related parties	Relationship
Mindteck (India) Limited	Holding company
Mindteck Singapore Pte Ltd	Fellow subsidiary

(a) Related Party Transactions

	2016 RM	2015 RM
Mindteck (India) Limited		
- Other operating expenses recharged	20,167	44,342
Mindteck Singapore Pte Ltd		
- Other operating expenses recharged	592,548	692,683

18. RELATED PARTY TRANSACTION – CONT'D

The Company has related party relationships with the following parties: - Cont'd

(b) Compensation of key management personnel

No compensation was paid to the key management personnel of the Company during the financial year.

19. FINANCIAL INSTRUMENTS

(a) Financial risk management objectives and policies

The Company's financial risk management policy seeks to ensure that adequate financial resources are available for the development of the Company's business whilst managing its risks. The Company operates within clearly defined guidelines that are approved by the Board and the Company's policy is not to engage in speculative transactions.

The main areas of financial risks faced by the Company and the policy in respect of the major areas of treasury activity are set out as follows:-

(i) Foreign currency risk

The Company is exposed to foreign currency risk as a result of its normal trading activities, where the currency denomination differs from the local currency, Ringgit Malaysia (RM). The Company's policy is to minimise the exposure to transaction risk by matching foreign currency income against foreign currency costs.

The net unhedged financial assets and financial liabilities of the Company that are denominated in foreign currencies are as follows:

19. FINANCIAL INSTRUMENTS – CONT'D

(a) Financial risk management objectives and policies – Cont'd

(i) Foreign currency risk – Cont'd

	2016 RM	2015 RM
Amount due from holding company		
USD Dollar	3,000	8,127
Amount due to a related company		
SGD	592,548	692,683
Amount due to holding company		
USD Dollar	20,167	44,342

(ii) Credit risk

Credit risk refers to the risk of default on its obligation by the counterparty resulting in a financial loss. Trade receivables are typically unsecured and are derived from revenue earned from customers primarily located in Malaysia. Credit risk is managed through credit approvals, establishing credit limits and continuously monitoring the creditworthiness of customers to which the Company grants credit terms in the normal course of business.

(iii) Liquidity risk

The Company seeks to achieve a balance between certainty of funding and a flexible, cost-effective borrowing structure. This is to ensure that at the minimum, all projected net borrowing needs are covered by committed facilities. Also, the objective for debt maturity is to ensure that the amount of debt maturing in any one year is not beyond the Company's means to repay and refinance.

(iv) Interest rate risk

The Company's income and operating cash flows are substantially independent of the changes in market interest rates.

(v) Market risk

The Company does not have any quoted investments and hence is not exposed to market risk.

19. FINANCIAL INSTRUMENTS – CONT'D

(b) Fair value of financial instruments

Fair value is defined as the amount at which the financial instruments can be exchanged between knowledgeable willing parties in an arm's length transaction other than in a forced sale or liquidation.

The following methods and assumptions are used to estimate the fair value of each class of financial assets and financial liabilities of the Company:-

(i) Cash and bank balances

The carrying amount of cash and bank balances approximate fair value due to the relatively short term maturity of these instruments.

(ii) Receivables and payables

The carrying amounts of receivables and payables are reasonable estimates of fair value because of their short maturity periods.

(c) Credit quality of financial assets

	Note	2016 RM	2015 RM
Loans and Receivables			
Assets as per reporting date			
- Trade and other receivables	8	3,753,691	3,434,646
- Amount due from holding company	9	3,000	8,127
- Cash and cash equivalents	16	1,397,982	863,607
		5,154,673	4,306,380

	Note	2016 RM	2015 RM
Loans and Payables			
Liabilities as per reporting date			
- Other payables		1,328,857	1,509,260
- Amount due to holding company	9	20,167	444,342
- Amount due to a related company	12	592,548	692,683
		1,941,572	2,646,285

19. FINANCIAL INSTRUMENTS – CONT'D

(d) Category of financial instruments

	2016 RM	2015 RM
Receivables		
Counterparties without external credit rating		
- Existing customer less than 6 months with no defaults in the past	3,426,274	3,227,727
Related parties		
- Related parties more than 6 months with no defaults in the past	3,000	8,127
	3,429,274	3,235,854
Cash at banks		
- AAA	1,397,357	862,103

Company No.: 718964-U

FOR MANAGEMENT PURPOSES ONLY

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

DETAILED PROFIT AND LOSS ACCOUNTS
FOR THE YEAR ENDED 31 MARCH 2016

	2016	2015
	RM	RM
Revenue	15,571,612	8,812,243
Cost of sales (APPENDIX I)	(12,257,278)	(6,990,701)
Gross profit	3,314,334	1,821,542
Other income:		
Gain on unrealised foreign exchange	37,869	-
Interest income	762	2,499
Miscellaneous income	-	727
Total income	3,352,965	1,824,768
Administrative and operating expenses (APPENDIX II)	(1,744,293)	(1,109,304)
Profit before finance cost and taxation	1,608,672	715,464
Finance cost:		
Interest expenses	(31,392)	-
Profit before taxation	1,577,280	715,464
Taxation	(500)	-
Net profit for the year after taxation	1,576,780	715,464
Retained profit brought forward	1,416,800	701,336
Retained profit carried forward	2,993,580	1,416,800

Company No.: 718964-U

FOR MANAGEMENT PURPOSES ONLY
APPENDIX I

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

COST OF SALES
FOR THE YEAR ENDED 31 MARCH 2016

	2016 RM	2015 RM
Bonus	-	(41,713)
Employee pass expenses	205,947	110,977
EPF	192,533	85,782
Insurance	101,796	42,229
Mobilisation and other	1,403	51,189
Salaries, wages and related staff costs	11,425,207	6,535,299
Socso	12,743	5,381
Telephone charges	-	5,311
Transport expenses	317,649	196,246
	12,257,278	6,990,701

Company No.: 718964-U

FOR MANAGEMENT PURPOSES ONLY
APPENDIX II

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

ADMINISTRATIVE AND OPERATING EXPENSES
FOR THE YEAR ENDED 31 MARCH 2016

	2016 RM	2015 RM
Auditors' remuneration	8,070	6,000
Bank charges	3,373	22,511
Bonus	36,936	68,690
Books and publications	565	-
Corporate finance fees	906,994	471,258
Depreciation of plant and equipment	10,702	10,592
Employee pass expenses	3,655	572
EPF	28,849	20,596
Filing and certification fees	150	-
Hire charges	4,230	-
Insurance	3,553	1,448
Meals and entertainments	1,025	185
Medical expenses	8,265	6,308
Membership fee	11,111	16,667
Mobilisation and other	1,824	-
Office repair and maintenance	6,431	9,495
Penalty	-	23,481
Portal fee	-	13,562
Postage and courier	7,514	5,912
Printing and stationery	1,910	1,732
Professional fees	17,296	19,711
Realised foreign exchange losses	-	37,353
Recruitment and placement fees	76,480	24,193
Rental of premise	39,936	30,000
Salary	345,626	226,137
Socso	1,239	1,240
Stamping fee	29,454	2,581
Telephone domestic	15,547	3,467
Travel airfare - International and domestic	35,791	18,716
Travel local	12,085	1,677
Unrealised foreign exchange losses	119,458	56,860
Utilities	6,224	8,360
	1,744,293	1,109,304

9. AMOUNT DUE FROM / (TO) HOLDING COMPANY

Amount due from holding company is unsecured, interest free and repayable on demand in cash and consist of:

	2016	2015
	RM	RM
Trade	3,000	8,127

Amount due to holding a company is unsecured, interest free (except an amount of RMnil (2015: RM400,000) which bear interest rate at nil% (2015: 8.5%) per annum) and repayable on demand in cash and consist of:

	2016	2015
	RM	RM
Non-trade	20,167	444,342

10. CASH IN HAND AND AT BANKS

	2016	2015
	RM	RM
Cash in hand	625	1,504
Cash at banks	1,397,357	862,103
	1,397,982	863,607

11. SHARE CAPITAL

	2016	2015
	RM	RM
Authorised:		
500,000 ordinary shares of RM1 each	500,000	500,000
Issued and fully paid:		
250,000 ordinary shares of RM1 each	250,000	250,000

12. AMOUNT DUE TO A RELATED COMPANY

Amount due to a related company is unsecured, interest free and repayable on demand in cash and consist of:

	2016	2015
	RM	RM
Non-trade	592,548	692,683

13. REVENUE

Revenue represents invoiced value of service provided.

14. ADMINISTRATIVE AND OPERATING EXPENSES

	2016	2015
	RM	RM
Included in the above are the following expenses:-		
Auditors' remuneration	8,070	6,000
Depreciation of plant and equipment	10,702	10,592
Realised foreign exchange losses	-	37,353
Rental of premise	39,936	30,000
Unrealised foreign exchange losses	119,458	56,860

15. TAXATION

	2016	2015
	RM	RM
Under provision of tax in prior year	500	-

No provision for taxation is required as the Company is in a pioneer status.

A reconciliation of income tax expenses applicable to profit before taxation at the statutory income tax rate to the income tax expenses at the effective income tax rate of the Company is as follows:

	2016	2015
	RM	RM
Profit before taxation	1,577,280	715,464
Income tax using Malaysia tax rate at 24% (2015: 25%)	378,547	178,866
Tax effects of non-deductible expenses	8,301	16,877
Chargeable income exempted from tax	(386,848)	(195,743)
Tax expense	-	-

On 6 July 2006, the Company was granted Multimedia Super Corridor-Status ("MSC-Status") by Multimedia Development Corporation Sdn. Bhd.. The financial incentive awarded to the Company is pioneer status under Section 4A of the Promotion of Investments Act, 1986 ("PAI"), with a ten years income tax exemption effective from Year of Assessment ("YA") 2007.

16. CASH AND CASH EQUIVALENTS

	2016 RM	2015 RM
Cash in hand	625	1,504
Cash at banks	1,397,357	862,103
	1,397,982	863,607

17. EMPLOYEE INFORMATION

	2016 RM	2015 RM
Staff costs - salaries and wages	11,769,312	6,759,915
Staff costs - staff welfare	105,349	43,677
Defined contribution plan	235,364	112,999
Leave pay	1,521	1,521
	12,111,546	6,918,112

18. RELATED PARTY TRANSACTION

The Company has related party relationships with the following parties:

Name of related parties	Relationship
Mindteck (India) Limited	Holding company
Mindteck Singapore Pte Ltd	Fellow subsidiary

(a) Related Party Transactions

	2016 RM	2015 RM
Mindteck (India) Limited		
- Other operating expenses recharged	20,167	44,342
Mindteck Singapore Pte Ltd		
- Other operating expenses recharged	592,548	692,683

18. RELATED PARTY TRANSACTION – CONT'D

The Company has related party relationships with the following parties: - Cont'd

(b) Compensation of key management personnel

No compensation was paid to the key management personnel of the Company during the financial year.

19. FINANCIAL INSTRUMENTS

(a) Financial risk management objectives and policies

The Company's financial risk management policy seeks to ensure that adequate financial resources are available for the development of the Company's business whilst managing its risks. The Company operates within clearly defined guidelines that are approved by the Board and the Company's policy is not to engage in speculative transactions.

The main areas of financial risks faced by the Company and the policy in respect of the major areas of treasury activity are set out as follows:-

(i) Foreign currency risk

The Company is exposed to foreign currency risk as a result of its normal trading activities, where the currency denomination differs from the local currency, Ringgit Malaysia (RM). The Company's policy is to minimise the exposure to transaction risk by matching foreign currency income against foreign currency costs.

The net unhedged financial assets and financial liabilities of the Company that are denominated in foreign currencies are as follows:

19. FINANCIAL INSTRUMENTS – CONT'D

(a) Financial risk management objectives and policies – Cont'd

(i) Foreign currency risk – Cont'd

	2016 RM	2015 RM
Amount due from holding company		
USD Dollar	3,000	8,127
Amount due to a related company		
SGD	592,548	692,683
Amount due to holding company		
USD Dollar	20,167	44,342

(ii) Credit risk

Credit risk refers to the risk of default on its obligation by the counterparty resulting in a financial loss. Trade receivables are typically unsecured and are derived from revenue earned from customers primarily located in Malaysia. Credit risk is managed through credit approvals, establishing credit limits and continuously monitoring the creditworthiness of customers to which the Company grants credit terms in the normal course of business.

(iii) Liquidity risk

The Company seeks to achieve a balance between certainty of funding and a flexible, cost-effective borrowing structure. This is to ensure that at the minimum, all projected net borrowing needs are covered by committed facilities. Also, the objective for debt maturity is to ensure that the amount of debt maturing in any one year is not beyond the Company's means to repay and refinance.

(iv) Interest rate risk

The Company's income and operating cash flows are substantially independent of the changes in market interest rates.

(v) Market risk

The Company does not have any quoted investments and hence is not exposed to market risk.

19. FINANCIAL INSTRUMENTS – CONT'D

(b) Fair value of financial instruments

Fair value is defined as the amount at which the financial instruments can be exchanged between knowledgeable willing parties in an arm's length transaction other than in a forced sale or liquidation.

The following methods and assumptions are used to estimate the fair value of each class of financial assets and financial liabilities of the Company:-

(i) Cash and bank balances

The carrying amount of cash and bank balances approximate fair value due to the relatively short term maturity of these instruments.

(ii) Receivables and payables

The carrying amounts of receivables and payables are reasonable estimates of fair value because of their short maturity periods.

(c) Credit quality of financial assets

	Note	2016 RM	2015 RM
Loans and Receivables			
Assets as per reporting date			
- Trade and other receivables	8	3,753,691	3,434,646
- Amount due from holding company	9	3,000	8,127
- Cash and cash equivalents	16	1,397,982	863,607
		5,154,673	4,306,380

	Note	2016 RM	2015 RM
Loans and Payables			
Liabilities as per reporting date			
- Other payables		1,328,857	1,509,260
- Amount due to holding company	9	20,167	444,342
- Amount due to a related company	12	592,548	692,683
		1,941,572	2,646,285

19. FINANCIAL INSTRUMENTS – CONT'D

(d) Category of financial instruments

	2016 RM	2015 RM
Receivables		
Counterparties without external credit rating		
- Existing customer less than 6 months with no defaults in the past	3,426,274	3,227,727
Related parties		
- Related parties more than 6 months with no defaults in the past	3,000	8,127
	3,429,274	3,235,854
Cash at banks		
- AAA	1,397,357	862,103

Company No.: 718964-U

FOR MANAGEMENT PURPOSES ONLY

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

DETAILED PROFIT AND LOSS ACCOUNTS
FOR THE YEAR ENDED 31 MARCH 2016

	2016 RM	2015 RM
Revenue	15,571,612	8,812,243
Cost of sales (APPENDIX I)	(12,257,278)	(6,990,701)
Gross profit	3,314,334	1,821,542
Other income:		
Gain on unrealised foreign exchange	37,869	-
Interest income	762	2,499
Miscellaneous income	-	727
Total income	3,352,965	1,824,768
Administrative and operating expenses (APPENDIX II)	(1,744,293)	(1,109,304)
Profit before finance cost and taxation	1,608,672	715,464
Finance cost:		
Interest expenses	(31,392)	-
Profit before taxation	1,577,280	715,464
Taxation	(500)	-
Net profit for the year after taxation	1,576,780	715,464
Retained profit brought forward	1,416,800	701,336
Retained profit carried forward	2,993,580	1,416,800

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Company No.: 718964-U

FOR MANAGEMENT PURPOSES ONLY
APPENDIX I

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

COST OF SALES
FOR THE YEAR ENDED 31 MARCH 2016

	2016 RM	2015 RM
Bonus	-	(41,713)
Employee pass expenses	205,947	110,977
EPF	192,533	85,782
Insurance	101,796	42,229
Mobilisation and other	1,403	51,189
Salaries, wages and related staff costs	11,425,207	6,535,299
Socso	12,743	5,381
Telephone charges	-	5,311
Transport expenses	317,649	196,246
	12,257,278	6,990,701

Company No.: 718964-U

FOR MANAGEMENT PURPOSES ONLY
APPENDIX II

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

ADMINISTRATIVE AND OPERATING EXPENSES
FOR THE YEAR ENDED 31 MARCH 2016

	2016 RM	2015 RM
Auditors' remuneration	8,070	6,000
Bank charges	3,373	22,511
Bonus	36,936	68,690
Books and publications	565	-
Corporate finance fees	906,994	471,258
Depreciation of plant and equipment	10,702	10,592
Employee pass expenses	3,655	572
EPF	28,849	20,596
Filing and certification fees	150	-
Hire charges	4,230	-
Insurance	3,553	1,448
Meals and entertainments	1,025	185
Medical expenses	8,265	6,308
Membership fee	11,111	16,667
Mobilisation and other	1,824	-
Office repair and maintenance	6,431	9,495
Penalty	-	23,481
Portal fee	-	13,562
Postage and courier	7,514	5,912
Printing and stationery	1,910	1,732
Professional fees	17,296	19,711
Realised foreign exchange losses	-	37,353
Recruitment and placement fees	76,480	24,193
Rental of premise	39,936	30,000
Salary	345,626	226,137
Socso	1,239	1,240
Stamping fee	29,454	2,581
Telephone domestic	15,547	3,467
Travel airfare - International and domestic	35,791	18,716
Travel local	12,085	1,677
Unrealised foreign exchange losses	119,458	56,860
Utilities	6,224	8,360
	1,744,293	1,109,304